PRACTICAL PHILOSOPHY
19 August 2026

The Same Fact Priced Twice

Two sessions read the memory shortage in opposite directions; only one thing moved consistently.

THE READING

The S&P 500 closed Tuesday at 7,691.76, down 0.69%, with the Nasdaq off about 1.3%. Semiconductors led it lower. Micron, SanDisk and Western Digital all fell hard, having risen 4.13%, 8.88% and 5.35% the session before. Nothing about the memory shortage changed in between.

What did change, and in the same direction on both days, was the long end. The ten-year pushed toward 4.75%, above the 4.61–4.73 band Hedgeye published on Monday morning, and the thirty-year held above 5.3%, its highest since 2007. WTI traded near $84.84. CoreWeave fell 8.3% — a leveraged borrower repricing to the cost of money, not to the price of DRAM.

WHAT WISDOM WOULD SAY

Francis Bacon wrote in the Novum Organum that the human understanding is no dry light: it takes an infusion from the will and the affections, so that what a man had rather were true, he the more readily believes. He added that once the mind has settled on an opinion, it draws everything else in to support it.

That is the mechanism on the tape. On Monday the memory shortage was revenue and the makers were bought. On Tuesday the same shortage was cost and the same names were sold. It is one number appearing twice with opposite signs, and which sign gets read depends on what the index is already doing.

Bacon’s remedy is not scepticism. It is a sorting: separate the facts that would still be facts had the tape gone the other way from the ones that exist only as interpretation. Apply that to the last two sessions and the list is short. A thirty-year yield at a nineteen-year high survives the test. The direction of the semiconductor complex does not.

THE RISK IT JUSTIFIES

This argues against acting on either day's move in memory. Both were the same fact wearing the mood of the session, and a position taken on Monday's reading was wrong by Tuesday lunchtime. It argues for leaving equity size where it is, and for letting tonight's July FOMC minutes pass without much weight — that meeting was held before crude at $84 and before a thirty-year above 5.3%, so it cannot speak to the thing doing the damage. Target, Lowe's and TJX report before the US open; they will say something about the consumer, not about the discount rate.

What would change the answer is a signal from credit rather than from rates: investment grade breaking down and high yield following, instead of duration doing all the work alone. That would make the long end an equity problem rather than a bond one.

Which of yesterday's facts would still have been facts if the index had closed green?